

# FLEET LEASE AGREEMENTS SUMMARY

As of June 30, 2024

Internal Credit Support Document – Reviewed

## Overview

This schedule summarizes material fleet lease agreements in place as of June 30, 2024. The leased fleet supports core transportation operations and represents a significant fixed cost component impacting operating cash flows and debt service coverage.

## Fleet Lease Schedule

| Asset Type                            | Units | Lessor                       | Monthly Lease per Unit | Remaining Term (Years) | Monthly Obligation |
|---------------------------------------|-------|------------------------------|------------------------|------------------------|--------------------|
| Tractors                              | 320   | National Fleet Leasing LLC   | \$850                  | 3.5                    | \$272,000          |
| Trailers                              | 540   | Interstate Equipment Finance | \$330                  | 3.0                    | \$178,200          |
| <b>Total Monthly Lease Obligation</b> |       |                              |                        |                        | <b>\$450,200</b>   |

## Accounting Treatment

Fleet leases are accounted for in accordance with ASC 842. Right-of-use assets and corresponding lease liabilities are recognized on the balance sheet. Lease payments are included in fixed operating costs and factored into debt service calculations for covenant compliance.

## Credit & Covenant Relevance

Aggregate monthly lease obligations of approximately \$0.45 million represent a material fixed charge. In the current quarter, elevated lease and operating costs contributed to margin compression and reduced Debt Service Coverage Ratio (DSCR).

## Additional Lease Terms & Conditions

Leases are non-cancelable and include customary maintenance, insurance, and usage provisions. No material lease defaults were identified as of the reporting date.